

Antofagasta plc

Chilean copper, a London listing, and a market pricing in a decade of scarcity

TICKER	COUNTRY	SECTOR	REPORT DATE	ANALYST
LSE: ANTO	United Kingdom (listing) / Chile (operations)	Basic Materials — Copper Mining	19 August 2026	Arthur Faugeron

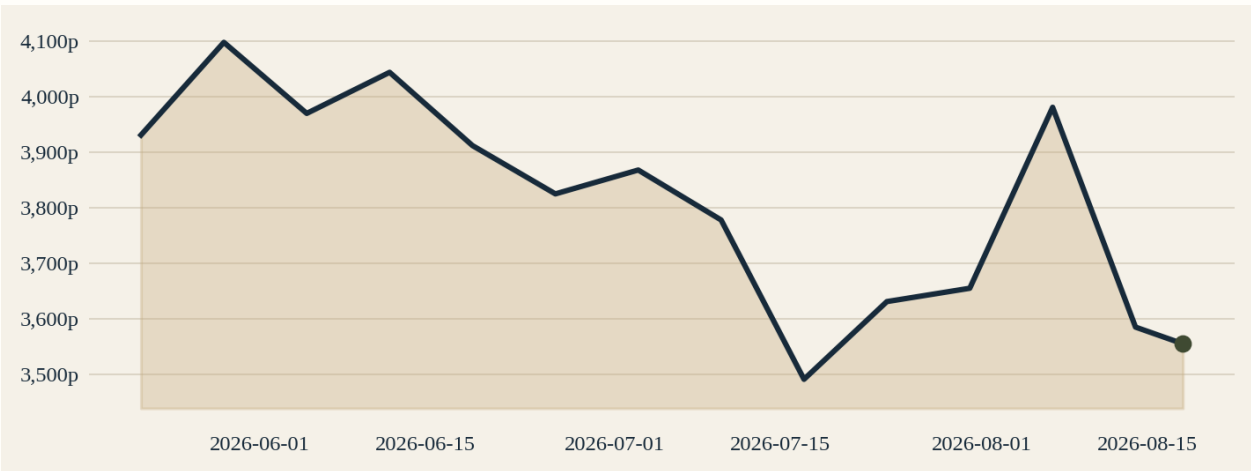
CLOSING PRICE — 18 AUGUST 2026

3,555.0p

DAY CHANGE

-61.0p (-1.69%)

Market cap £35.0bn / US\$47.5bn • FTSE 100 constituent



ANTO (LSE) weekly closing price, last 14 weeks to 18 August 2026. Source: Alpha Vantage, TIME_SERIES_WEEKLY_ADJUSTED.

FTSE 100

Copper — Pure Play

Luksic Family Controlled

4 Mines, All in Chile

EXECUTIVE SUMMARY

Antofagasta plc

Antofagasta plc is a London-listed, Luksic-family-controlled mining group whose entire productive base sits in one country: four copper mines in northern and central Chile — Los Pelambres, Centinela, Antucoya and Zaldívar — plus a 138-year-old railway that still carries other miners' cargo across the Atacama. It is, in substance, a single-country, single-commodity bet on copper, wrapped in a FTSE 100 listing and run with the balance-sheet discipline of a family office that has owned the asset since 1980.

Business

The group mines, concentrates and, at two of its four operations, electro-refines copper into cathode; a Japanese consortium (JX Nippon Mining & Metals, Marubeni, Mitsubishi Materials and Mitsubishi Corp) holds 40% of Los Pelambres and 30% of Centinela and Antucoya alongside Antofagasta, which is why a substantial minority-interest line (US\$4,060 million at FY2025 year-end) sits on the consolidated balance sheet. Copper concentrate is sold to third-party smelters; cathode is sold directly into global trade, historically weighted toward Asia. Gold, silver and molybdenum by-product credits are large enough to swing net cash costs by more than a dollar per pound at some mines. The group does not set the price of what it sells — it is a price-taker on LME/COMEX-referenced copper — so revenue is a function of tonnes produced and the prevailing copper tape, not of any pricing power Antofagasta itself holds.

Financial Condition

FY2025 revenue was US\$8,620 million (+30.4% year-on-year), EBITDA US\$4,930 million (57.2% margin), and net income attributable to shareholders US\$1,329 million (basic EPS US\$1.35). The first half of 2026 extended the trend: revenue of US\$4,479.0 million (+18% year-on-year), EBITDA of US\$2,840.5 million (+27%, a 63.4% margin — a level the company itself describes as toward the top of the global pure-play copper peer group), and operating cash flow of US\$2,772.9 million (+53%). Free cash flow, however, has been negative in three of the last five years (2022, 2024 and FY2025, at –US\$612.9 million) because capital expenditure has run ahead of operating cash flow through a multi-year growth programme; capex reached US\$3,685 million in FY2025 alone. Net debt has risen from a net cash position in 2021 to an estimated US\$3.8 billion by mid-2026 (net debt/EBITDA of 0.68x, up from 0.53x six months earlier, per the company's own H1 2026 disclosure), still a modest level of leverage for the sector.

Market Position

Antofagasta's closest listed comparators are Southern Copper Corporation (Peru/Mexico, majority-owned by Grupo México) and Freeport-McMoRan (US/Indonesia/Peru); both are substantially larger by market capitalisation (US\$158.6 billion and US\$95.2 billion respectively, versus Antofagasta's US\$47.5 billion) and, critically, both are geographically diversified across multiple countries, whereas Antofagasta's production is 100% Chilean. BHP, via its 57.5% stake in the neighbouring Escondida mine, and the state-owned Codelco are the two entities that most directly compete with Antofagasta for Chilean water rights, community relationships, skilled labour and regulatory attention, even though neither is a direct market-cap comparator. Antofagasta's principal competitive advantage is a century of operating know-how in one of the world's most prolific copper districts, expressed in low net cash costs after by-product credits (as low as

US\$0.75–0.82/lb at its two largest mines in FY2025); its principal competitive weakness is precisely that same geographic concentration, which leaves it fully exposed to any single-country shock — fiscal, political, or, as the market was reminded in July 2026, meteorological.

Valuation

At the 18 August 2026 closing price of 3,555p, Antofagasta's market capitalisation is approximately £35.0 billion (US\$47.5 billion) and enterprise value approximately US\$51.3 billion (analyst calculation; see Section C3 for the derivation of last-twelve-month figures). On last-twelve-month figures blending FY2025 and H1 2026 results, this equates to roughly 28.7x trailing earnings and 9.3x EV/EBITDA. Southern Copper trades at 28.3x trailing P/E and 16.1x EV/EBITDA; Freeport-McMoRan at 32.5x and 10.6x. Antofagasta's EV/EBITDA multiple is therefore the cheapest of the three despite the fastest recent EBITDA growth, though its earnings multiple sits roughly in line with peers — a pattern consistent with the market treating its cash-flow generation as somewhat lower-quality (heavier capex, higher geographic-concentration risk) than the multiple alone would suggest.

Investment Framework

What is attractive: low-cost, by-product-rich assets in a tier-one copper district; a modest 0.68x net debt/EBITDA balance sheet even mid-way through a large capital programme; a majority family owner with a century-long horizon and a demonstrated willingness to walk away from a bad asset (the 2022 Reko Díq exit, for a US\$900 million indemnity, rather than persist with a stranded Pakistani project); and a demand backdrop — electrification, EVs, AI-driven data-centre build-out — that multiple independent forecasters (ICSG, S&P Global) expect to tip the global copper market into structural deficit from 2026.

What is concerning: 100% single-country production concentration; free cash flow negative in three of the past five years; net debt that has moved from net cash to roughly US\$3.8 billion in under five years with the growth programme not yet complete; a July 2026 weather event that has already cut FY2026 guidance once; and margins currently running well above their own five-year average, which raises the question of how much of the current earnings power is cyclical rather than structural.

What must go right: the Centinela Second Concentrator Project and Los Pelambres infrastructure works must complete on the schedule management has set (commissioning through 2027) to deliver the promised ~30% medium-term production uplift; copper prices need to hold materially above their 2016–2021 average of roughly US\$6,500–9,500/tonne (spot was approximately US\$13,500/tonne in July 2026) for the current valuation to be supported; and Chilean operating conditions — water, weather, labour, royalty policy — need to stabilise rather than deteriorate further.

What could break the thesis: a copper price correction back toward the historical range would compress margins from a peer-leading 63% toward the low-40s%/high-20s% seen in 2022–2024, precisely as debt service obligations are highest; a second major weather or water disruption in Chile within the same production year; or a further increase in the Chilean royalty/tax burden on large copper producers beyond the 2024 Mining Royalty Act.

What appears to be priced in: the analyst DCF built in Section C3 suggests that, at a 9.0–11.0% WACC and 2.0–3.0% terminal growth, sustaining an EBITDA margin in the high-60s to mid-70s percentage range across FY2026–FY2030 — above even the record 63.4% margin reported in H1 2026, and well above the 45–60% range realised over FY2021–FY2025 — is required to justify the current 3,555p share price. That is a demanding assumption about the persistence of currently elevated copper prices, not merely about production growth.

Investment Profile

<i>Business quality</i>	Good — low-cost, by-product-advantaged assets in a top-tier copper district, but with no pricing power and full exposure to a single commodity.
<i>Financial quality</i>	Mixed — strong reported margins and a still-modest debt load, but free cash flow has been negative in three of the past five years through a heavy capex cycle.
<i>Competitive position</i>	Strong within Chile on cost and scale; structurally less diversified than SCCO, FCX or BHP.
<i>Growth profile</i>	Management guides to approximately 30% higher medium-term production as the Centinela and Los Pelambres projects complete through 2027.
<i>Balance-sheet risk</i>	Low-to-moderate today (net debt/EBITDA 0.68x) but rising, with the growth capital programme not yet finished.
<i>Valuation</i>	Demanding on a normalised-margin DCF basis; more reasonable on a through-cycle EV/EBITDA basis relative to peers.
<i>Market / technical profile</i>	Up 67.5% over one year but down 17.9% from its late-February 2026 all-time high after the August 2026 guidance cut; momentum has turned neutral (RSI 14-week 43.8).

SECTION A

About the Business

A1. Business Environment

Copper mining is a capital-intensive, geologically constrained extraction industry that sits at the base of a long value chain: exploration and resource definition (often a decade or more from discovery to first production), mine development, extraction (open-pit or underground), concentration and, in some cases, on-site electro-refining (solvent extraction–electrowinning, or SX-EW), followed by sale either as concentrate to third-party smelters or as refined cathode directly into global trade. Global refined copper demand has historically been dominated by China (construction, grid infrastructure, appliances), but the demand base is diversifying: electric vehicles require roughly 2.5–3x the copper of an internal-combustion vehicle, grid and renewable-energy build-out is copper-intensive by design, and data-centre construction for artificial intelligence workloads is now a discrete, fast-growing demand line that did not meaningfully exist in industry supply planning a decade ago.

Supply is geographically concentrated: Chile alone accounts for roughly a quarter of global mined copper output, with Peru, the Democratic Republic of Congo and China (concentrated in refining) making up most of the remainder. Average ore grades have been declining industry-wide for decades, meaning more rock must be moved and processed to produce the same tonne of metal — a structural driver of rising capital and cash-cost intensity across the industry, independent of any single company's execution. The International Copper Study Group has flagged a shift from a modest 2025 surplus to a market deficit in 2026, and disruption rates at existing mines — strikes, weather, water curtailment, ore-grade shortfalls — have been elevated industry-wide through 2025 and 2026, a dynamic Antofagasta itself experienced directly in July 2026 (Section A6).

Regulation is tightening rather than loosening. Chile's Mining Royalty Act, effective 1 January 2024, layered a new 1% ad-valorem tax and a progressive operating-margin-based royalty (8–26% of adjusted mining operating income) onto large copper producers, capping total tax plus royalty at 46.5% of pre-tax earnings for the largest producers. Water permitting and community consultation requirements have also tightened, effectively mandating desalination as the practical standard for new and expanded capacity in Chile's arid north and centre.

On balance, the industry is best classified as **a mature extraction industry entering a demand-driven structural tightening phase**: the resource base and technology are well understood and evolve incrementally, but a structurally growing and diversifying demand base (electrification, EVs, AI infrastructure) is colliding with a supply side constrained by declining ore grades, long permitting and construction lead times, and elevated operational disruption rates. Value is increasingly captured by the lowest-cost, best by-product-endowed producers with secure water and permitting positions — a group in which Antofagasta's two largest mines currently rank favourably on net cash cost, though its smaller, older assets (Antucoya, Zaldívar) do not.

A2. What Does the Company Do?

Antofagasta operates four copper mines, all in Chile, organised as separate legal joint ventures with differing ownership splits: Los Pelambres (60% Antofagasta, 40% a Japanese consortium of JX Nippon Mining & Metals, Marubeni, Mitsubishi Materials and Mitsubishi Corp), Centinela and Antucoya (70% Antofagasta, 30% Marubeni at Centinela; Antucoya ownership follows a similar minority-partner structure), and Zaldívar (100% Antofagasta since it bought out Barrick

Gold's 50% stake in 2015). A fifth, wholly-owned business — the Ferrocarril de Antofagasta a Bolivia (FCAB) transport division — is the company's original 1888 business and still hauls cargo for other mining customers across northern Chile, a genuine (if small) vertically-integrated logistics asset.

The revenue engine is simple in shape and entirely a function of physical production and the prevailing copper price: ore is mined, concentrated (and, at Antucoya and Zaldívar, leached and electro-refined to cathode via SX-EW), and sold either as concentrate to third-party smelters (Los Pelambres, most of Centinela) or as LME Grade-A cathode directly into trade. Gold, silver and molybdenum recovered alongside copper are sold as by-products and credited against cash costs — at Los Pelambres, by-product credits cut the FY2025 net cash cost to US\$0.82/lb from a gross cash cost of US\$2.21/lb; at Centinela the effect was even larger, from US\$2.27/lb gross to US\$0.75/lb net. This by-product leverage is one of the more economically important, and least visible, features of the business: it means Antofagasta's realised profitability depends not just on the copper price but on gold and molybdenum prices too.

The operating model, in the CLAUDE.md framework, runs: **global industrial & trading customers (smelters, cathode buyers, predominantly Asia-weighted) → copper concentrate / cathode, plus gold, silver and molybdenum by-products → revenue set by LME/COMEX reference pricing less treatment and refining charges → cash costs (net of by-product credits) → EBITDA → heavy sustaining and growth capital expenditure → free cash flow → dividends (35% of underlying net earnings payout policy) and debt service.** The single most economically important lever in this chain is not any Antofagasta-specific operating choice but the copper price itself: at a realised price near July 2026's roughly US\$13,500/tonne, the group earns a 63% EBITDA margin; at the roughly US\$6,500–7,500/tonne average of 2016–2019, the same operations would earn a far lower margin, all else equal. Very little of Antofagasta's revenue is contractually recurring in the software sense; recurrence instead depends on physical continuity of production, which is why weather, water and labour disruptions matter so much to the investment case.

A3. Business / Relationship Network

Antofagasta plc (London-listed parent, majority owned by the Luksic family)

→ Antofagasta Minerals S.A. (Santiago, wholly owned operating subsidiary)

→ Los Pelambres (60% ANTO / 40% JX Nippon Mining & Metals, Marubeni, Mitsubishi Materials, Mitsubishi Corp) — largest mine, Coquimbo Region

→ Centinela (70% ANTO / 30% Marubeni) — second-largest, Antofagasta Region, undergoing the Second Concentrator expansion

→ Antucoya (70% ANTO / 30% Marubeni) — oxide/SX-EW cathode operation

→ Zaldívar (100% ANTO since 2015, bought out from Barrick Gold) — oldest, highest-cost asset, life extended to 2051 via a c.US\$0.9 billion seawater investment approved in 2026

→ Ferrocarril de Antofagasta a Bolivia (FCAB, wholly owned) — rail/road transport division serving Antofagasta's own mines and third-party mining customers in northern Chile

→ Third-party smelters and cathode buyers (concentrated in Asia: China, Japan, South Korea; also Europe) — the group's customer base

→ Key equipment, energy and water infrastructure providers — including the desalination plants at Los Pelambres (in service since 2024, c.US\$2 billion) and the new Zaldívar seawater pipeline (approved 2026)

→ Metalinvest Anstalt / E. Abaroa Foundation (controlling shareholder vehicles for the Luksic family, matriarch Iris Fontbona) — approximately 50.7% of ordinary shares directly, with total family economic interest reported at roughly 60–65% including preference shares and related holdings

→ Institutional shareholders (RBC Global Asset Management, Capital International Ltd and others, each holding low-single-digit percentage stakes)

The Japanese minority partners (JX Nippon, Marubeni, Mitsubishi Materials, Mitsubishi Corp) matter economically because they absorb a proportionate share of both the capital cost and the earnings of Los Pelambres, Centinela and Antucoya — the consolidated balance sheet carries US\$4,060 million of minority interest at FY2025 year-end precisely because of these structures, and the income statement's minority-interest deduction (roughly 36% of pre-minority net income in FY2025) is a permanent, structural feature of Antofagasta's reported earnings, not a one-off item.

A4. Competition

Antofagasta does not compete for end-customers in the way a branded consumer company does — refined copper is fungible and sold at a common reference price — so the more relevant competitive contest is for capital, low-cost ore bodies, water rights, skilled labour and community and regulatory goodwill within Chile, and for investor capital globally against other copper-levered equities.

Table A4-1. Competitive comparison — global copper producers

Company	What it sells	Geographic exposure	Market cap (US\$bn)	Major advantage	Major disadvantage
Antofagasta plc	Copper concentrate & cathode, Au/Ag/Mo by-products	100% Chile	47.5	Low net cash cost after by-products; family-owner discipline	Single-country concentration; smaller scale
Southern Copper Corp.	Copper, molybdenum, zinc, silver	Peru, Mexico	158.6	Two-country diversification; very low unit costs; long-life reserves	Majority-owned by Grupo México (limited float); rich valuation
Freeport-McMoRan Inc.	Copper, gold, molybdenum	US, Indonesia (Grasberg), Peru	95.2	Grasberg scale and gold credits; US-listed liquidity	Indonesian resource-nationalism/export-policy exposure; lower margin
BHP Group (Escondida, 57.5%)	Iron ore, copper, potash (diversified)	Australia, Chile, elsewhere	>100 (group)	Balance-sheet scale; world's largest copper mine (Escondida)	Copper is a minority of group earnings; capital competes with iron ore
Codelco (state-owned)	Copper, molybdenum	100% Chile	n/a (unlisted)	World's largest copper producer by volume; strategic state backing	Aging assets, chronic underinvestment, state fiscal extraction

Direct competitors are the other large Chilean and Americas copper miners above. Indirect competitors include scrap/recycled copper supply, which grows countercyclically as prices rise, and, at the margin, aluminium substitution in some wiring and heat-exchanger applications. Emerging competitors are new-project developers in the Democratic Republic of Congo, Zambia and Mongolia (Oyu Tolgoi), where lower jurisdictional cost bases are offset by materially higher political and infrastructure risk. Geographic competitors within Chile — BHP's Escondida and Codelco's Chuquibambilla/El Teniente complexes — compete most directly with Antofagasta for the same scarce inputs: desalinated water capacity, transmission-grid access, skilled labour, and the political capital needed to secure permits in an increasingly contested regulatory environment.

A5. Competitive Differences

Advantages. Cost position is Antofagasta's clearest structural strength: net cash costs of US\$0.75–0.82/lb at Los Pelambres and Centinela in FY2025, after by-product credits, sit well inside the lower half of the global cost curve. Ownership structure is a second advantage: Luksic family control (via Metalinvest Anstalt) since 1980 has produced a management culture with a demonstrably long horizon — the 1888-vintage FCAB railway is still run as a going concern, and the 2022 exit from the Reko Díq project in Pakistan (for a US\$900 million indemnity rather than a value-destroying continuation) is a rare example of disciplined capital recycling in a sector not always known for it. Scale within Chile and a century of institutional knowledge of the Atacama's specific geological and water-scarcity challenges is a third advantage that is difficult for a new entrant to replicate quickly.

Disadvantages. The company has essentially zero pricing power — it is a pure price-taker on a globally traded commodity. Geographic concentration is total: unlike BHP, Freeport or even Southern Copper, a single country's weather, water policy, labour law or tax regime can affect 100% of production, as the July 2026 Coquimbo storm demonstrated directly. Two of the four mines (Antucoya, and especially Zaldívar at US\$3.44/lb cash cost in FY2025) are higher-cost, older, and in the case of Zaldívar require a c.US\$0.9 billion capital investment just to keep operating through 2051. Free cash flow has been negative in three of the last five years because of the scale of the current growth capital programme.

None of Antofagasta's advantages constitute a durable moat in the classic sense — there are no switching costs, network effects, or brand premium in commodity copper. The advantages are best described as **operational and ownership-structure advantages within a structurally advantaged asset base**, rather than a moat around the business model itself. On the standard scale, the company's moat is **weak to moderate**: real but geological/cost-based (hence largely tied to the quality of two specific ore bodies) rather than structural in the sense of pricing power or customer lock-in, and it offers no protection at all against the commodity-price cycle that dominates the economics of the business.

A6. Industry Trend

Refined copper demand grew at a modest low-single-digit annual pace through most of the 2010s, driven primarily by Chinese construction and grid build-out. Growth has both accelerated and diversified since roughly 2021: electric-vehicle production, grid modernisation for renewables integration, and — the newest and fastest-growing line — data-centre construction for AI compute, which independent estimates suggest could take global data-centre copper demand from roughly 500,000 tonnes per year today toward 3 million tonnes per year by 2050. On the supply side, the International Copper Study Group has projected the market shifting from a modest surplus in 2025 to a deficit from 2026, with mine-level disruption rates (strikes, weather, permitting delays, declining grades) running above historical norms across the industry — a dynamic visible in Antofagasta's own FY2025 commentary on "elevated disruption rates... at several major copper mines."

The LME copper price averaged roughly US\$4,700–6,000/tonne in 2015–2016, US\$6,500–9,500/tonne through most of 2017–2023, and has risen sharply since late 2025 to average roughly US\$13,500/tonne in July 2026 — a near-tripling from the 2016 trough (Chart 9). Whether this recent, sharp move is the start of a structural repricing of copper (the "AI/electrification supercycle" thesis argued by several sell-side forecasters, some projecting US\$15,000/tonne) or a cyclical extension that will partially mean-revert is the single most important open question for this investment case, and is treated explicitly in the valuation section (C3) rather than assumed.

Regulation is tightening structurally, not cyclically: Chile's 2024 Mining Royalty Act is very unlikely to be the last word on copper taxation given the mineral's centrality to Chilean public finances, and water-use permitting has moved decisively toward mandatory desalination for any new or expanded northern Chilean capacity. On balance, the industry sits closest to **structurally transforming, with cyclical price risk superimposed**: a demand base that is diversifying and growing faster than at any point in the last two decades, against a supply base that is slow to respond because of long lead times, declining grades and tightening regulation — but with a price level that has moved far and fast enough that a reversal, whether from demand disappointment (a slower AI infrastructure build-out than currently assumed, or a broader global slowdown) or faster-than-expected supply response, remains a live risk rather than a remote one.

A7. Management

Table A7-1. Key executives

Name	Position	Background	Tenure
Iván Arriagada Herrera	Chief Executive Officer	~28 years across Shell (~20 years, Chile/UK), BHP Billiton (President Pampa Norte; VP Production and CFO, Base Metals division), and VP Administration & Finance at Codelco immediately before joining Antofagasta Minerals as CEO in Feb 2015. MSc, London School of Economics; degrees from Universidad Federico Santa María and Adolfo Ibáñez Business School.	CEO since April 2016
Mauricio Ortiz	Chief Financial Officer	Electrical engineer; MSc Metals & Energy Finance, Imperial College London (2009–10); 14+ years across energy, mining and rail. Joined the group in 2015; succeeded Alfredo Atucha as CFO.	CFO since March 2020
Octavio Aráneda Osés	Chief Operating Officer	Career mining engineer with prior senior operating roles in the Chilean copper industry.	Current
Jean-Paul Luksic	Chairman (non-executive)	Member of the controlling Luksic family; Andrónico Luksic also sits on the board as a continuing strategic voice.	Current

Capital allocation under the current management team has been characterised by: (i) a formal dividend policy of 35% of underlying net earnings, applied consistently — the H1 2026 interim dividend of 30.1 cents/share (+81% year-on-year) tracked the 81% rise in underlying earnings almost exactly; (ii) a large, disclosed, multi-year growth capital programme (Centinela Second Concentrator Project, Los Pelambres infrastructure, the Zaldívar water transition) funded through a mix of retained cash flow and new debt issuance (US\$3,319 million of long-term debt issued in FY2025 alone); and (iii) willingness to exit non-core or impaired projects — the 2022 withdrawal from the Reko Díq joint venture in Pakistan, for which Antofagasta ultimately received a US\$900 million indemnity from the Pakistani state, stands out as disciplined rather than sunk-cost-driven decision-making. Reported insider ownership at the corporate level is modest (approximately 4.3% per S&P Global Market Intelligence data), but this understates true alignment: the Luksic family's controlling stake is held via the Metalinvest Anstalt/E. Abaroa Foundation structure rather than in the names of individual named executives, and is reported at approximately 50.7% of ordinary shares directly, with total family economic interest cited by financial media at roughly 60–65% when preference shares and related holdings are included. On the evidence available — a maintained payout policy, a funded and disclosed growth programme, and a track record of walking away from a stranded asset rather than compounding losses — management's capital allocation behaviour appears reason-

ably well aligned with minority shareholder interests, though the concentration of control in a single family (a governance feature common to Chilean conglomerates) is itself a structural feature investors should weigh rather than a risk that can be independently verified or dismissed from public disclosure alone.

SECTION B

Financial Statements

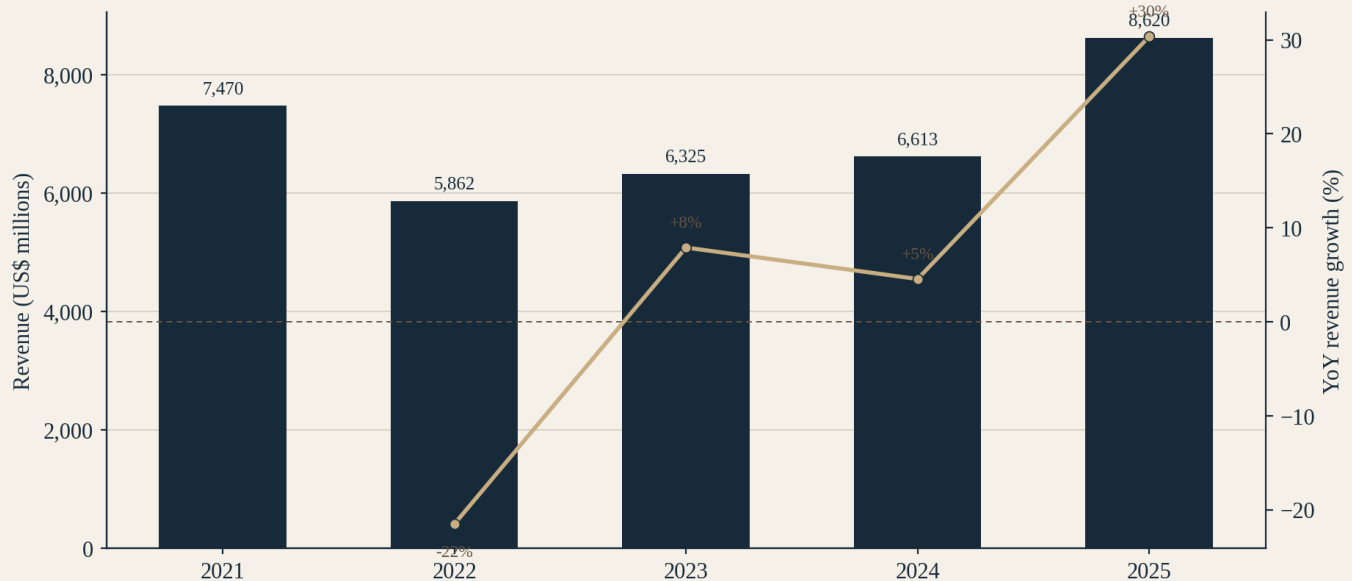
B1. Income Statement

Reported figures for FY2021–FY2025 are set out below; all figures are as reported under IFRS in Antofagasta's consolidated financial statements (US dollar functional and reporting currency), aggregated by S&P Global Market Intelligence and cross-checked against the company's own FY2025 and H1 2026 results releases.

Table B1-1. Consolidated income statement, FY2021–FY2025 (US\$ millions except per-share data)

Metric	2021	2022	2023	2024	2025
Revenue	7,470	5,862	6,325	6,613	8,620
Revenue growth (%)	+45.6	−21.5	+7.9	+4.6	+30.4
Gross profit	4,350	2,429	2,658	2,504	4,304
Gross margin (%)	58.2	41.4	42.0	37.9	49.9
EBITDA	4,505	2,665	2,895	3,023	4,930
EBITDA margin (%)	60.3	45.5	45.8	45.7	57.2
Operating income (EBIT)	3,426	1,617	1,767	1,619	3,345
Operating margin (%)	45.9	27.6	27.9	24.5	38.8
Effective tax rate (%)	35.7	23.6	33.9	36.5	34.4
Net income attributable to shareholders	1,290	1,533	835.1	829.4	1,329
Net margin (%)	17.3	26.1	13.2	12.5	15.4
EPS, basic (US\$)	1.31	1.55	0.85	0.84	1.35
Shares outstanding (m)	986	986	986	986	986

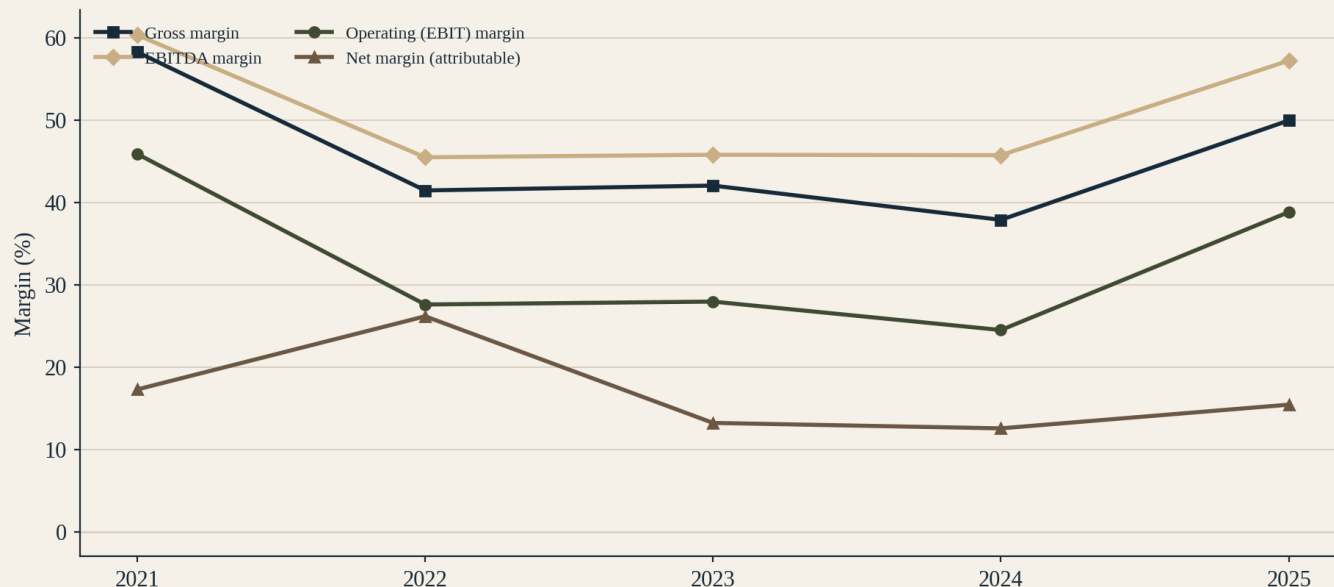
Antofagasta — Revenue and Year-on-Year Growth, FY2021–FY2025



Source: StockAnalysis.com (data by S&P Global Market Intelligence), aggregation of Antofagasta plc consolidated income statements, FY2021–FY2025.

Revenue growth over the period has been driven almost entirely by price and volume/mix, not by acquisitions, new markets or new products — Antofagasta has not made a material producing-asset acquisition in this window. The 21.5% revenue decline in 2022 reflects a sharp copper-price pullback from 2021's post-pandemic peak; the 30.4% jump in 2025 reflects a combination of higher realised copper, gold and molybdenum prices and improved Centinela concentrate output. FY2022's unusually high 26.1% net margin was a one-off, aided by a US\$944.7 million gain on sale of investments in the "gain (loss) on sale of investments" line, not by underlying operating performance — a case where reported net income diverges from the operating story, and a reminder to look at EBIT and EBITDA margins (27.6% and 45.5% that year, both below 2021 and 2025 levels) for the operating trend.

Antofagasta — Gross, EBITDA, Operating and Net Margins, FY2021–FY2025



Source: as Chart 1. Net margin is attributable to Antofagasta plc shareholders, after minority interests in the operating subsidiaries.

Margins were broadly stable and compressed through 2022–2024 (EBITDA margin 45.5–45.8%) before expanding sharply in FY2025 and again in H1 2026 (63.4%), driven by operating leverage on a largely fixed cost base as realised copper, gold and molybdenum prices rose faster than cash costs. This is a textbook example of operating leverage in a commodity business: because a large share of mining cash costs is fixed or semi-fixed in the short run, revenue upside from price flows disproportionately to EBITDA. The reverse is equally true on the way down, which is central to the risk discussion in Section C2 and the valuation discussion in Section C3.

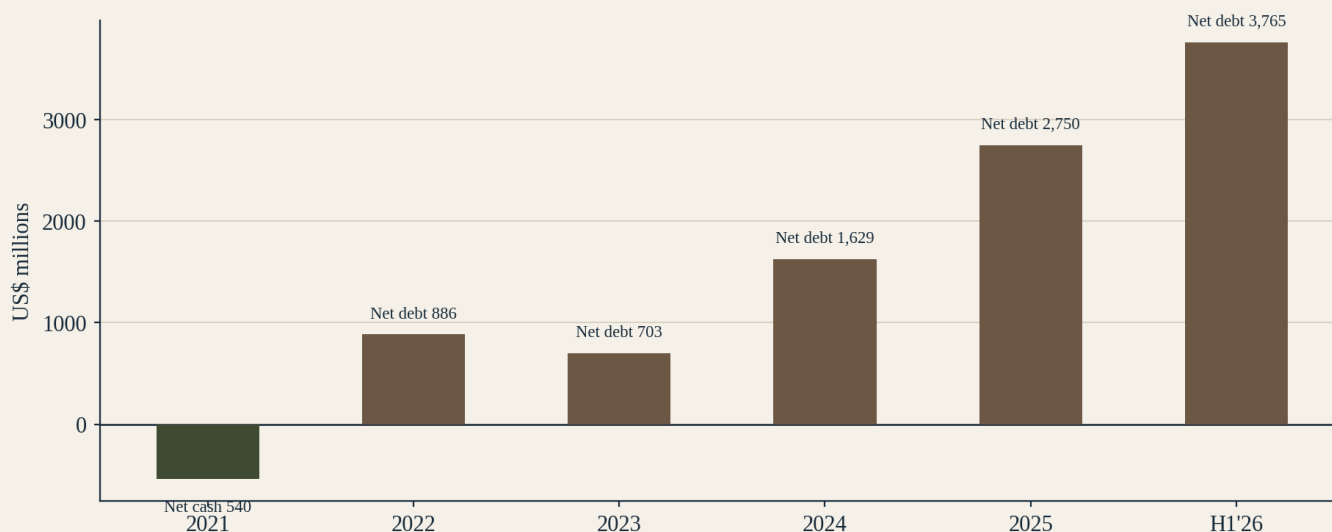
B2. Balance Sheet

Table B2-1. Summarised consolidated balance sheet, FY2021–FY2025 (US\$ millions)

Metric	2021	2022	2023	2024	2025
Cash & short-term investments	3,713	2,391	3,377	4,316	4,910
Total current assets	5,406	5,222	5,191	6,158	7,147
Property, plant & equipment	10,539	11,544	12,679	13,917	16,653
Total assets	17,278	18,238	19,647	22,635	26,418
Total current liabilities	1,574	1,606	2,189	2,776	2,463
Total debt	3,173	3,277	4,079	5,945	7,659
Total liabilities	6,249	6,594	7,599	9,681	11,988
Common equity (ex-minority)	8,350	8,628	8,952	9,462	10,370

Metric	2021	2022	2023	2024	2025
Minority interest	2,679	3,017	3,097	3,492	4,060
Net cash / (net debt)	540.5	(885.8)	(702.6)	(1,629)	(2,750)
Current ratio (x)	3.44	3.25	2.37	2.22	2.90

Antofagasta — Net Debt / Net Cash Position, FY2021–H1 2026



Source: StockAnalysis.com balance-sheet aggregation (FY2021–FY2025); H1 2026 figure is an analyst estimate derived from the Group's reported net debt/EBITDA ratio of 0.68x (2026 Half Year Results, 13 August 2026) applied to last-twelve-month EBITDA. Positive bars denote net debt.

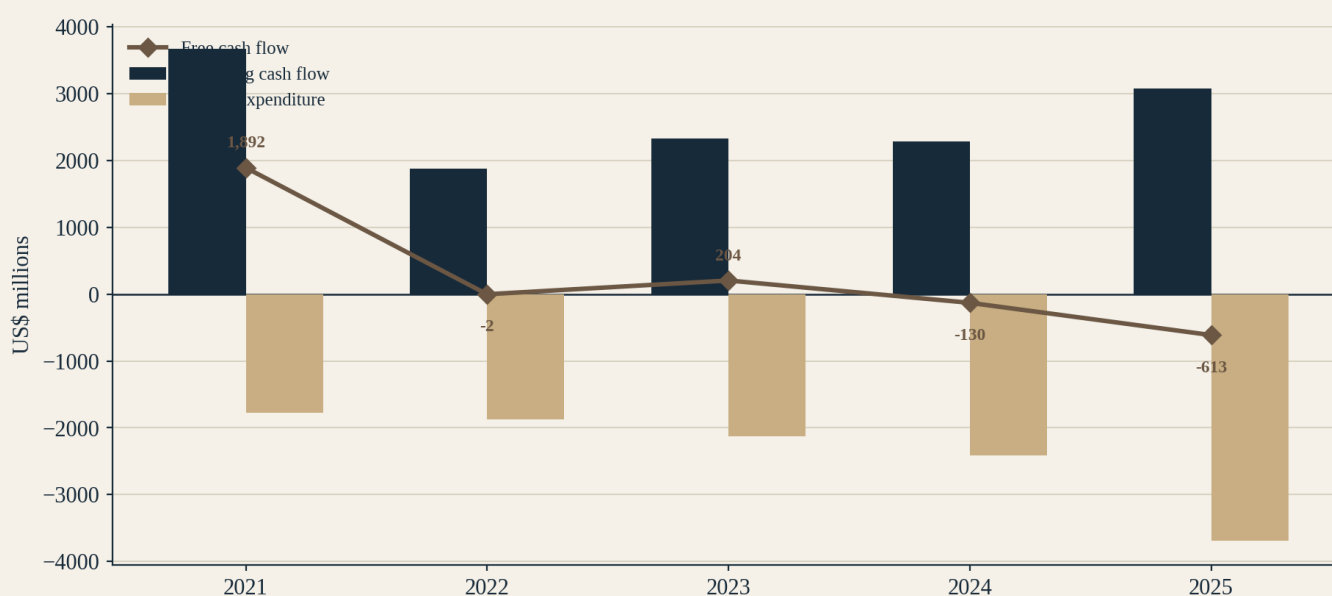
The balance sheet has moved from a net cash position (US\$540.5 million at end-2021) to net debt of US\$2,750 million at end-2025, and, on an analyst estimate derived from the company's own disclosed 0.68x net debt/EBITDA ratio, to roughly US\$3.8 billion by mid-2026. This is the direct consequence of a capital expenditure programme that has consistently exceeded operating cash flow: PP&E has nearly doubled, from US\$10,539 million to US\$16,653 million, over the same five years. The current ratio remains comfortable throughout (2.2–3.4x), and reported net debt/EBITDA of 0.68x at mid-2026 is low by mining-industry standards, but the trend — and the fact that leverage rose from 0.53x to 0.68x within a single six-month period — is the balance-sheet item most worth monitoring, particularly if copper prices were to soften while the growth capital programme remains committed. Goodwill is not a material line item on Antofagasta's balance sheet (its assets are predominantly organically developed mines rather than acquired businesses), which removes one common source of balance-sheet fragility seen elsewhere in mining and materials. The minority-interest balance (US\$4,060 million, 28% of total equity including minorities) is large and structural, reflecting the Japanese consortium stakes described in Section A3, and should not be mistaken for a red flag; it is a permanent feature of the corporate structure.

B3. Cash Flow Statement

Table B3-1. Summarised cash flow statement, FY2021–FY2025 (US\$ millions)

Metric	2021	2022	2023	2024	2025
Operating cash flow	3,670	1,877	2,333	2,285	3,072
Capital expenditure	(1,778)	(1,879)	(2,129)	(2,415)	(3,685)
Free cash flow (analyst calc.)	1,893	(2.3)	203.8	(129.6)	(612.9)
FCF margin (%)	25.3	(0.0)	3.2	(2.0)	(7.1)
Dividends paid	(710.9)	(1,263)	(613.3)	(317.5)	(395.4)

Antofagasta — Operating Cash Flow, Capex and Free Cash Flow, FY2021–FY2025



Source: StockAnalysis.com (data by S&P Global Market Intelligence). Free cash flow = operating cash flow less capital expenditure (analyst calculation).
FY2025 capex reflects peak spend on the Centinela Second Concentrator Project and Los Pelambres infrastructure.

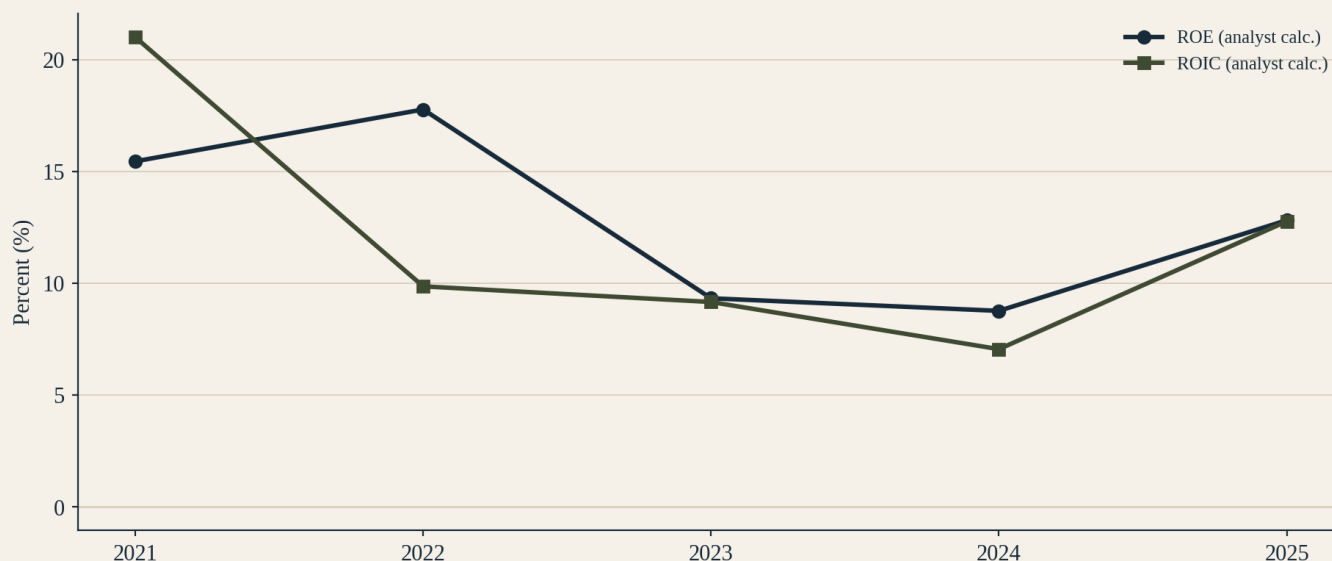
Free cash flow = operating cash flow less capital expenditure (analyst calculation). Operating cash flow has tracked EBITDA reasonably closely across the period (a sign of reasonable earnings quality — cash conversion has not been artificially propped up by working-capital drawdowns), but free cash flow has been negative in three of the last five years purely because of the scale of capital spending, which reached 43% of revenue in FY2025. This is the clearest instance in this report of net income (or even EBITDA) diverging from cash generation available to shareholders: FY2025 net income of US\$1,329 million and EBITDA of US\$4,930 million coexisted with negative free cash flow of US\$612.9 million, because nearly all of that cash-flow generation, and more, was reinvested in the Centinela Second Concentrator Project and Los Pelambres infrastructure. Dividends paid have continued throughout, including in FCF-negative years, funded by the balance sheet (cash reserves and new debt) rather than by free cash flow in those specific years — a pattern that is sustainable only if the capital programme delivers the promised production growth on schedule and copper prices do not fall sharply in the interim.

SECTION C

Evaluation

C1. Financial & Operating Metrics

Antofagasta — Return on Equity and Return on Invested Capital, FY2021–FY2025



Analyst calculation. ROE = net income attributable to shareholders / period-end common equity (excluding minority interest).
ROIC = EBIT x (1 - effective tax rate) / (total debt + total equity including minority interest - cash & short-term investments).

Table C1-1. Key ratios, FY2021–FY2025 and last-twelve-months (analyst calculation unless noted)

Metric	2021	2022	2023	2024	2025	LTM (to H1'26)
ROE (net income / period-end common equity)	15.5%	17.8%	9.3%	8.8%	12.8%	16.0%
ROIC (EBIT×(1–tax) / (debt+equity–cash))	21.0%	9.9%	9.2%	7.1%	12.8%	n/a ¹
Net debt / EBITDA (x)	(0.12)	0.33	0.24	0.54	0.56	0.68

¹ROIC not recomputed for the LTM period given the absence of a directly reported LTM effective tax rate; FY2025 figure of 12.8% cross-checks closely against the 12.76% ROIC independently reported by S&P Global Market Intelligence via StockAnalysis.com for the same period, which supports the reliability of the analyst methodology used throughout this section.

Profitability metrics tell a consistent story: returns compressed through the weaker-price years of 2023–2024 and have re-expanded sharply as copper, gold and molybdenum prices rose through FY2025 and H1 2026. ROIC of 7.1–9.9% in the 2022–2024 trough years is a reasonable proxy for what this asset base earns through a softer part of the commodity cycle, and is a useful benchmark against which to judge whether the current 12.8%+ level, and the DCF assumptions in Section C3, are cyclical or structural. Leverage (net debt/EBITDA) has risen steadily and is the ratio most worth tracking quarter to quarter given the unfinished capital programme.

C2. Risks

Table C2-1. Structured risk assessment

Category	Risk	Probability	Impact
Business	100% single-country (Chile) production concentration	Ongoing (structural)	High
Business	Weather/water disruption (realised: July 2026 Coquimbo storm, "state of catastrophe")	Medium-High (recurring)	Medium-High
Business	Aging, high-cost assets (Zaldívar US\$3.44/lb FY2025 cash cost)	Medium	Low-Medium
Financial	Rising net debt through an unfinished capex programme	Medium-High	Medium-High
Financial	Negative free cash flow persisting if capex or costs run above plan	Medium	Medium
Competitive	No pricing power; scale disadvantage vs. SCCO/FCX/BHP	Structural	Medium
Regulatory	Further increases to Chile's copper royalty/tax regime	Medium	Medium
Regulatory	Permitting/community delays (e.g., Zaldívar EIA took until May 2025)	Medium	Low-Medium
Macro	Copper price mean reversion from currently elevated levels	Medium-High	Very High
Valuation	Multiple/margin compression if the "AI-electrification supercycle" thesis disappoints	Medium	High

The three risks most capable of permanently impairing shareholder value, ranked by probability × impact: **(1) copper price mean reversion** — the DCF in Section C3 shows the current share price already embeds a demanding, sustained-high-margin assumption, so any retracement toward the 2016–2023 historical price range would compress both earnings and the multiple simultaneously; **(2) recurring Chilean weather/water disruption** — not a hypothetical risk but one that has already cut FY2026 guidance once, in a country where the government itself declared a "state of catastrophe" in the Coquimbo region in July 2026; and **(3) leverage building through an unfinished, multi-billion-dollar capital programme** at precisely the point in the cycle when commodity prices are most elevated and therefore most exposed to reversal.

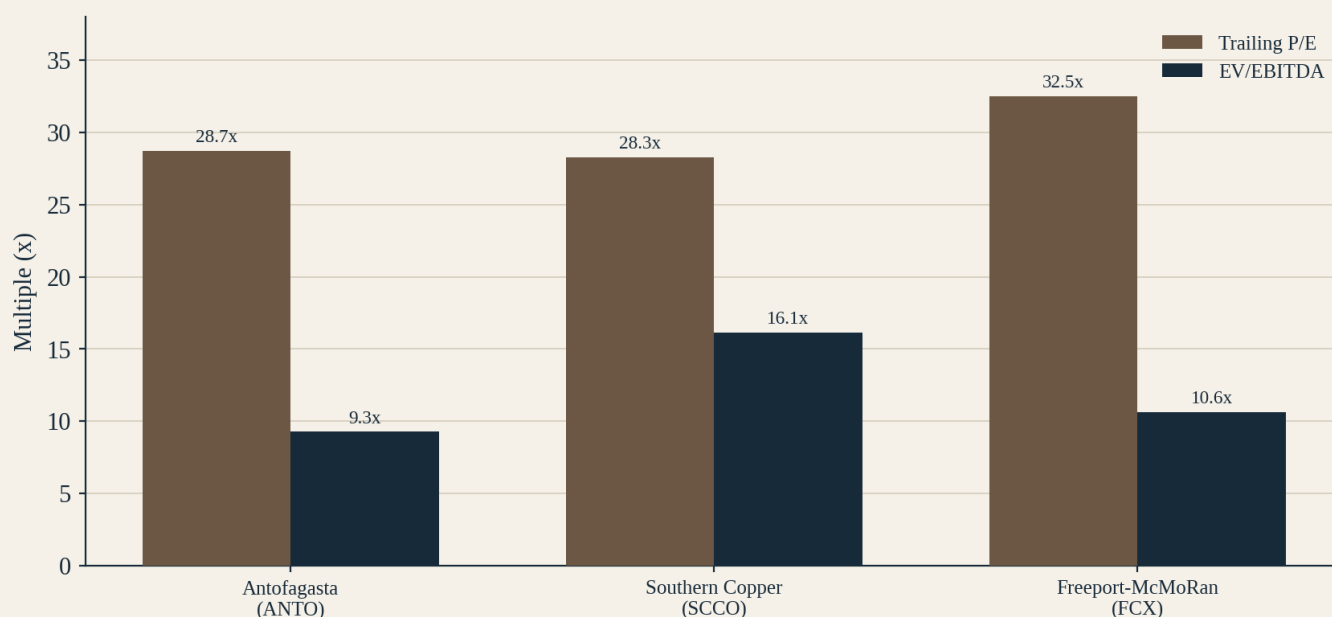
C3. Valuation

Current trading multiples (analyst calculation, last-twelve-months to H1 2026, at the 18 August 2026 closing price of 3,555p / US\$48.20 per ADR-equivalent share). Market capitalisation: US\$47,514 million (£35,041 million). Estimated net debt: US\$3,765 million (derived from the company's disclosed net debt/EBITDA ratio of 0.68x applied to LTM EBITDA of US\$5,536 million; see Section G for methodology). Enterprise value: approximately US\$51,279 million. LTM revenue (FY2025 less H1 2025 plus H1 2026): US\$9,300 million. LTM EBITDA: US\$5,536 million (59.5% margin). LTM net income attributable to shareholders: approximately US\$1,654 million (US\$1.68 per share).

Table C3-1. Valuation multiples — Antofagasta vs. peers

Metric	Antofagasta (LTM, analyst calc.)	Southern Copper (SCCO)	Freeport-McMoRan (FCX)
Trailing P/E	28.7x	28.3x	32.5x
EV/EBITDA	9.3x	16.1x	10.6x
EV/Revenue	5.5x	10.1x	3.9x
ROE	16.0%	49.9%	14.8%
Dividend yield	~1.3%	2.3%	0.9%

Pure-Play Copper Peer Set — Trailing P/E and EV/EBITDA



Source: StockAnalysis.com (S&P Global Market Intelligence) as of 18–19 August 2026 close for SCCO and FCX; Antofagasta computed by the analyst from last-twelve-month EBITDA/earnings (FY2025 plus H1 2026 less H1 2025) and market data as of 18 August 2026 close.

Antofagasta screens as the cheapest of the three on EV/EBITDA and EV/Revenue, broadly in line on trailing P/E, and well behind Southern Copper on ROE — a function of Southern Copper’s much lower relative capital base and higher through-cycle margins, not of any operating superiority per se. The EV/EBITDA discount is consistent with the market assigning Antofagasta a higher risk premium for single-country concentration and its currently heavier capex burden.

Discounted cash flow (analyst estimate — explicit assumptions)

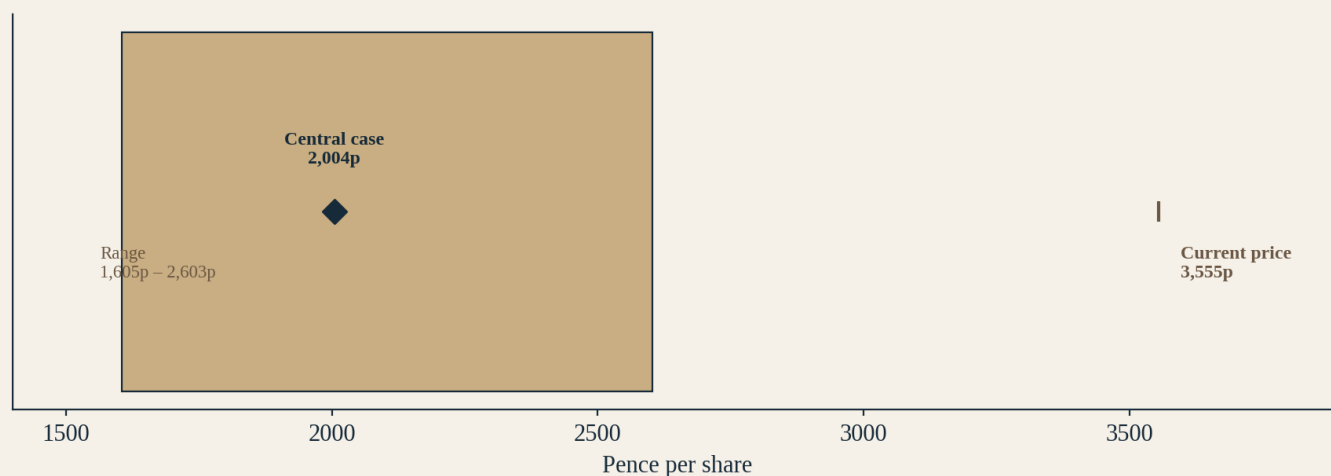
The DCF below is built as an explicit five-year unlevered free cash flow forecast (FY2026–FY2030), not a precise point estimate of intrinsic value. Assumptions: revenue growth of 13%/10%/7%/5%/4% off the FY2025 base of US\$8,620 million, reflecting continued near-term momentum from H1 2026 and the phased production uplift from the Centinela and Los Pelambres projects, moderating thereafter; EBITDA margin normalising from 58% in FY2026E to 49% in FY2030E (versus the actual H1 2026 margin of 63.4% and the FY2021–FY2025 average of roughly 51%) — an explicit assumption that currently elevated copper, gold and molybdenum prices partially mean-revert over the forecast window, not a

company-specific view; depreciation & amortisation held at 18.5% of revenue; a 34% effective tax rate; capital expenditure of US\$4.3 billion and US\$3.6 billion in FY2026–27 (reflecting guided growth capex, including the approximately US\$0.9 billion Zaldívar water investment), declining to a US\$1.9–2.0 billion sustaining level by FY2029–30; and a modest working-capital investment assumption. Net debt of US\$3,765 million (as above) and 985.86 million shares outstanding are used to bridge from enterprise to equity value.

Table C3-2. DCF sensitivity — implied value per share (GBX/pence), by WACC and terminal growth rate

WACC	Terminal growth 2.0%	Terminal growth 2.5%	Terminal growth 3.0%
9.0%	2,236p	2,406p	2,606p
9.5%	2,046p	2,190p	2,357p
10.0%	1,881p	2,004p	2,148p
10.5%	1,736p	1,843p	1,965p
11.0%	1,606p	1,700p	1,806p

Antofagasta — DCF Value Range vs Current Market Price



Analyst DCF, explicit FY2026–FY2030 forecast with EBITDA margin normalizing from 58% to 49%, WACC 9.0–11.0%, terminal growth 2.0–3.0%. See Section C3 for assumptions. Current price as of 18 August 2026 close.

Across this grid (WACC 9.0–11.0%, terminal growth 2.0–3.0%, all combinations), the implied value per share ranges from approximately 1,606p to 2,606p, with a central case (10.0% WACC — close to the 10.61% WACC independently reported by S&P Global Market Intelligence — and 2.5% terminal growth) of approximately 2,004p. Against the actual 18 August 2026 closing price of 3,555p, this explicit-forecast, margin-normalising DCF suggests the shares trade 37–55% above the range, and roughly 77% above the central case.

What does the current price imply? (reverse DCF)

Rather than treat this gap as a simple sell signal, it is more informative to ask what the market must be assuming to justify 3,555p. Solving the same DCF framework for the flat EBITDA margin required to generate the current enterprise value (holding the same revenue growth, capex and tax assumptions) implies a sustained EBITDA margin of approximately **67% at a 9.5% WACC, rising to approximately 75% at a 10.5% WACC**, held every year from FY2026 through FY2030. That is above even the record 63.4% margin Antofagasta reported in H1 2026 itself, and far above the 45–60% range (average roughly 51%) realised over FY2021–FY2025. In plain terms: the current price does not merely require copper demand growth and the growth projects to complete on schedule — it requires copper (and gold and molybdenum) prices, and therefore margins, to remain at or above their current cyclical highs, indefinitely, for the whole of the explicit forecast window. Judged against Antofagasta's own five-year margin history, that assumption sits toward the **optimistic to extremely optimistic** end of the plausible range, rather than the conservative or reasonable end — though it is not an unreasonable assumption if one takes the strongest form of the structural copper-deficit thesis (Section A6) at face value.

C4. Capital Market / Stock Analysis

Antofagasta (LSE: ANTO) — Weekly Closing Price, August 2021–August 2026



Source: Alpha Vantage (TIME_SERIES_WEEKLY_ADJUSTED), London Stock Exchange weekly closing prices, not adjusted for ordinary dividends.

Table C4-1. Price performance and risk statistics (analyst calculation from weekly closing prices, Alpha Vantage, to 18 August 2026)

Metric	Value
1-week return	–10.7%
1-month return	+1.8%
3-month return	–6.7%

Metric	Value
6-month return	−4.2%
Year-to-date return	+10.3%
1-year return	+67.5%
3-year return	+158.5%
5-year return	+130.3%
52-week range (weekly closes)	2,122p – 4,328p
All-time high (weekly close) / date	4,328p / 27 Feb 2026
Current price vs. all-time high	−17.9%
Annualised volatility, 1-year (weekly-return basis)	40.3%
Annualised volatility, 5-year (weekly-return basis)	38.6%
Maximum drawdown, since 2005 (weekly closes)	−89.1% (May 2006 – Oct 2008, global financial crisis)
Maximum drawdown, last 5 years	−42.8% (Mar 2022 – Jul 2022)
10-week / 40-week moving average	3,728p / 3,598p
14-week RSI	43.8 (neutral)
Beta (5-year, reported)	~1.35–1.41 ¹

¹As reported by S&P Global Market Intelligence via StockAnalysis.com; the figure varies modestly (1.35–1.41) across snapshot dates within 2026, consistent with a rolling five-year beta calculation rather than a data discrepancy.

The share price has been a strong performer over one, three and five years (+67.5%, +158.5% and +130.3% respectively), tracking the broader copper-price re-rating described in Section A6, but the shorter-term picture is materially weaker: the stock is down 17.9% from its 27 February 2026 all-time high, and fell sharply (roughly −10.7% over the week encompassing the announcement) around the 13 August 2026 half-year results, when a strong earnings beat was overshadowed by the cut to FY2026 copper production guidance following the Los Pelambres weather shutdown. The current price sits between its 10-week (3,728p) and 40-week (3,598p) moving averages — the 10-week average has crossed below the price only recently, and the 14-week RSI of 43.8 indicates momentum has turned neutral-to-slightly-negative after the August sell-off, rather than either overbought or oversold. Annualised volatility of 38–40% and a reported beta above 1.3 both confirm that Antofagasta trades as a high-beta, high-volatility cyclical equity, consistent with its single-commodity, single-country risk profile; the stock's worst historical drawdown (−89% peak-to-trough into the 2008 financial crisis) is a useful reminder of how violently commodity-linked mining equities can reprice in a demand shock, even though the 2022 drawdown of −43% is the more relevant modern-cycle comparison.

SECTION D

Investment Thesis

Bull Case

- Structural copper deficit (ICSG-projected from 2026) driven by electrification, EV adoption and AI data-centre build-out sustains prices near or above current elevated levels.
- Centinela Second Concentrator and Los Pelambres infrastructure projects complete on the guided 2027 schedule, delivering the promised ~30% medium-term production uplift.
- By-product credits (gold, molybdenum) remain strong, keeping net cash costs among the lowest in the global peer group.
- Net debt/EBITDA stays below 1.0x through the remainder of the capital programme, preserving balance-sheet flexibility and the 35%-of-earnings dividend policy.
- Luksic family ownership continues to support a long-horizon, disciplined capital-allocation culture.

Base Case

- Copper prices moderate somewhat from the July 2026 peak but remain well above the 2016–2021 historical average given structural demand growth.
- EBITDA margin normalises from the H1 2026 peak of 63.4% toward a high-40s/low-50s% through-cycle range over the next several years.
- Production grows roughly as guided into FY2027–28 as growth projects complete, with occasional weather- or grade-related shortfalls.
- Net debt continues to build through the remainder of the capex programme before free cash flow inflects positive from around FY2028.
- The shares re-rate modestly lower on a normalised-earnings basis but the dividend continues to grow with underlying earnings.

Bear Case

- Copper prices retrace materially (toward US\$9,000–10,000/tonne) as global growth slows or supply responds faster than currently expected.
- A further Chilean weather, water or labour disruption compounds the July 2026 event, pressuring production for a second consecutive year.
- Margins compress toward the 24–28% operating-margin range last seen in 2022–2024, just as debt service costs are at their highest point in the cycle.
- Net debt/EBITDA rises toward or above 1.5–2.0x, pressuring the dividend payout framework and possibly triggering a capital-programme slowdown.
- The valuation multiple compresses alongside earnings, producing a sharper share-price decline than the earnings decline alone would suggest.

Catalysts

- Quarterly production reports (next: Q3 2026, expected October 2026), which will show whether the post-storm ramp-up at Los Pelambres is tracking the 625,000–655,000 tonne full-year guidance range.
- FY2026 preliminary results (expected February 2027).
- Commissioning progress updates on the Centinela Second Concentrator Project and Los Pelambres infrastructure works, targeted for completion through 2027.
- Movements in LME/COMEX copper, gold and molybdenum reference prices.
- Chilean regulatory or fiscal developments affecting the mining royalty framework.
- Interim and final dividend declarations under the 35%-of-underlying-earnings payout policy.
- Permitting and construction progress on the Zaldívar seawater transition (targeted from mid-2028) and the Twin Metals project in Minnesota, United States.

Things to Monitor

Table D-1. Monitoring checklist

Metric / Event	Why it matters	Positive signal	Negative signal
Quarterly copper production (tonnes)	Direct driver of revenue; tests whether FY2026 guidance holds after the July 2026 cut	Production tracking toward the top of 625k–655k tonne guidance	Further downward guidance revisions
Net cash cost (US\$/lb)	Shows underlying cost discipline independent of the copper price	Net cash cost continuing to fall or hold below US\$1.20/lb	Cost inflation eroding by-product-adjusted margins
Net debt / EBITDA	Primary balance-sheet risk indicator through the capex cycle	Ratio stabilising or falling from 0.68x	Ratio climbing toward or above 1.0x
Capital expenditure vs. guidance	Determines when free cash flow inflects positive	Capex tracking at or below the US\$3.4bn 2026 guidance (ex-Zaldívar)	Cost overruns or schedule slippage on Centinela/Los Pelambres projects
LME copper price	Single largest swing factor for revenue, margin and the DCF-implied valuation	Price sustaining above US\$12,000/tonne	Sustained retracement below US\$10,000/tonne
Chilean weather/water events	Demonstrated, recurring operational risk (July 2026 precedent)	No further weather-related shutdowns	Additional "state of catastrophe" declarations affecting mine regions

SECTION E

Final Investment Framework

<i>Business Quality</i>	Good, not exceptional. Low-cost, by-product-advantaged assets in one of the world's best copper districts, but a pure price-taker with no product differentiation.
<i>Financial Quality</i>	Mixed. Strong, well-converting margins at current copper prices; free cash flow negative in three of the last five years through a heavy, still-unfinished capex cycle.
<i>Competitive Position</i>	Strong within Chile on cost; structurally less diversified than Southern Copper, Freeport-McMoRan or BHP, with no ability to hedge single-country risk operationally.
<i>Management</i>	Experienced, industry-native leadership under long-standing Luksic family control, with a maintained dividend policy and a credible record of disciplined capital recycling (Reko Díq exit).
<i>Industry</i>	Structurally transforming: a diversifying, faster-growing demand base (electrification, EVs, AI infrastructure) against a supply-constrained, increasingly regulated industry — but at a price level that has moved far and fast.
<i>Valuation</i>	Demanding on an explicit, margin-normalising DCF basis (current price roughly 40–80% above the modelled range); more defensible on a relative EV/EBITDA basis against SCCO and FCX.
<i>Technical / Market Structure</i>	Strong multi-year uptrend interrupted by a post-earnings correction; momentum neutral, price still above its 40-week average but below its 10-week average.
<i>Principal Risk</i>	Copper price mean reversion from currently elevated, deficit-narrative-driven levels.
<i>Principal Catalyst</i>	On-schedule completion of the Centinela and Los Pelambres growth projects, delivering the guided ~30% medium-term production increase.
<i>Key Variable</i>	The sustained level of the LME copper price — it drives revenue, margin, free cash flow, leverage trajectory and, per the reverse-DCF analysis in Section C3, the entire valuation gap between the current share price and a normalised-margin fair-value estimate.

THESIS INVALIDATION

The investment thesis outlined above would become materially weaker if: (i) LME copper prices retrace by more than approximately 25–30% from July 2026 levels and stay there for more than two to three quarters, compressing EBITDA margins back toward the 45–50% range last seen outside the current cycle; (ii) net debt/EBITDA rises above approximately 1.5x while the Centinela or Los Pelambres growth projects are still incomplete; (iii) a second material weather, water or labour disruption affects more than one of the four mines within a single production year; or (iv) the Chilean government enacts a further increase to the mining royalty or tax regime beyond the 2024 Mining Royalty Act framework.

SECTION F

Data Table

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market Cap	US\$47.5bn	n/a ¹	Rising with copper price
Market	Enterprise Value	US\$51.3bn	n/a ¹	Rising
Market	Share Price	3,555p	2,122p (approx., 1yr ago)	+130.3% over 5 years
Growth	Revenue Growth (FY2025)	+30.4%	+4.6% (FY2024)	Volatile, price-driven
Profitability	Gross Margin (FY2025)	49.9%	37.9% (FY2024)	Range 37.9%–58.2%
Profitability	Operating Margin (FY2025)	38.8%	24.5% (FY2024)	Range 24.5%–45.9%
Profitability	Net Margin (FY2025)	15.4%	12.5% (FY2024)	Range 12.5%–26.1%
Profitability	ROE (FY2025)	12.8%	8.8% (FY2024)	Range 8.8%–17.8%
Profitability	ROIC (FY2025)	12.8%	7.1% (FY2024)	Range 7.1%–21.0%
Cash Flow	Operating Cash Flow (FY2025)	US\$3,072m	US\$2,285m (FY2024)	Range US\$1,877m–3,670m
Cash Flow	Free Cash Flow (FY2025)	(US\$612.9m)	(US\$129.6m) (FY2024)	Negative in 3 of 5 years
Leverage	Net Debt / EBITDA (H1 2026)	0.68x	0.53x (FY2025)	Rising from net cash (2021)
Valuation	P/E (LTM, analyst calc.)	28.7x	n/a ¹	n/a ¹
Valuation	EV/EBITDA (LTM, analyst calc.)	9.3x	n/a ¹	n/a ¹
Market	Beta (5Y, reported)	~1.35–1.41	n/a ¹	n/a ¹
Market	Annualised Volatility (1Y)	40.3%	n/a ¹	n/a ¹
Market	Maximum Drawdown (5Y)	–42.8%	n/a ¹	n/a ¹

¹Prior-year and trend figures not separately tracked or not meaningfully comparable on a like-for-like historical basis for this metric; see the relevant subsection of Section C for full historical detail where available.

SECTION G

Sources & Methodology

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Market Data

Alpha Vantage. Global market data API — GLOBAL_QUOTE, TIME_SERIES_WEEKLY_ADJUSTED, CURRENCY_EXCHANGE_RATE and COPPER (global commodity price index) endpoints, accessed 19 August 2026 — ANTO.LON weekly closing prices (2005–2026) used for all price-return, volatility, drawdown and moving-average calculations in Section C4; the 18 August 2026 closing quote (3,555.0p, previous close 3,616.0p); the GBP/USD exchange rate (1.35572) used to convert pence-denominated market data to US dollars; and monthly average LME copper prices (2016–2026) used in Section A6 and Chart 9.

Calculations

The following figures are analyst calculations, not directly reported figures, and are clearly labelled as such throughout the report: last-twelve-month revenue, EBITDA, net income and associated valuation multiples (Section C3), derived by combining FY2025 annual figures with H1 2026 results net of H1 2025; estimated net debt at mid-2026 (Section C3), derived by applying the company's disclosed net debt/EBITDA ratio of 0.68x to last-twelve-month EBITDA; ROE and ROIC for FY2021–FY2025 (Section C1), using the methodologies stated in the relevant chart captions; all price-return, annualised volatility, maximum-drawdown, moving-average and RSI statistics in Section C4, computed from Alpha Vantage weekly closing-price data; and the discounted cash flow valuation range and reverse-DCF implied-margin analysis in Section C3, built on the explicit assumptions stated in that section. Where a figure could not be sourced from a primary or secondary source, an estimate was used and is labelled as such with its methodology disclosed; no figures in this report were fabricated or estimated without disclosure.

This report was prepared for personal research purposes only and does not constitute investment advice, a recommendation, or an offer or solicitation to buy or sell any security. It was prepared with the assistance of Claude AI. Past performance is not indicative of future results, and any figures, estimates or valuation ranges presented reflect stated assumptions that may not prove accurate.